intended to be established as an organisation (International Trade Organisation) but the US Parliament refused to accede to it. So, it came into force, as an agreement short of an institution, in 1947.

It was established with an aim to ensure free trade among world countries by way of reduction of tariff and other barriers to trade. Under the aegis of GATT, eight rounds of negotiations were held between 1986 and 1994 among members, to ensure free trade. The last one was the Uruguay round.

The Uruguay round included the service trade, intellectual property rights, textiles and agriculture in its negotiation. As a result of conclusion of Uruguay Round (8th round), WTO has been established. This brought many amendments to GATT. This amended version now forms the basis for WTO.

Principles of WTO

The two main principles of WTO are Most Favoured Nation (MFN) and National Treatment (NT).

The principle of MFN calls the member countries to treat all nations on equal footing in the policies concerning import and export of goods and services. The principle of National Treatment calls to treat imported goods and services equal to domestic goods and services in domestic sale and consumption.

Structure of WTO

Ministerial Conference is the top level decision making body. It meets once in two years. The trade and commerce ministers, by whatever name called in member countries,